Fundraising from Multiple Audiences

Examining Social Identity and Giving

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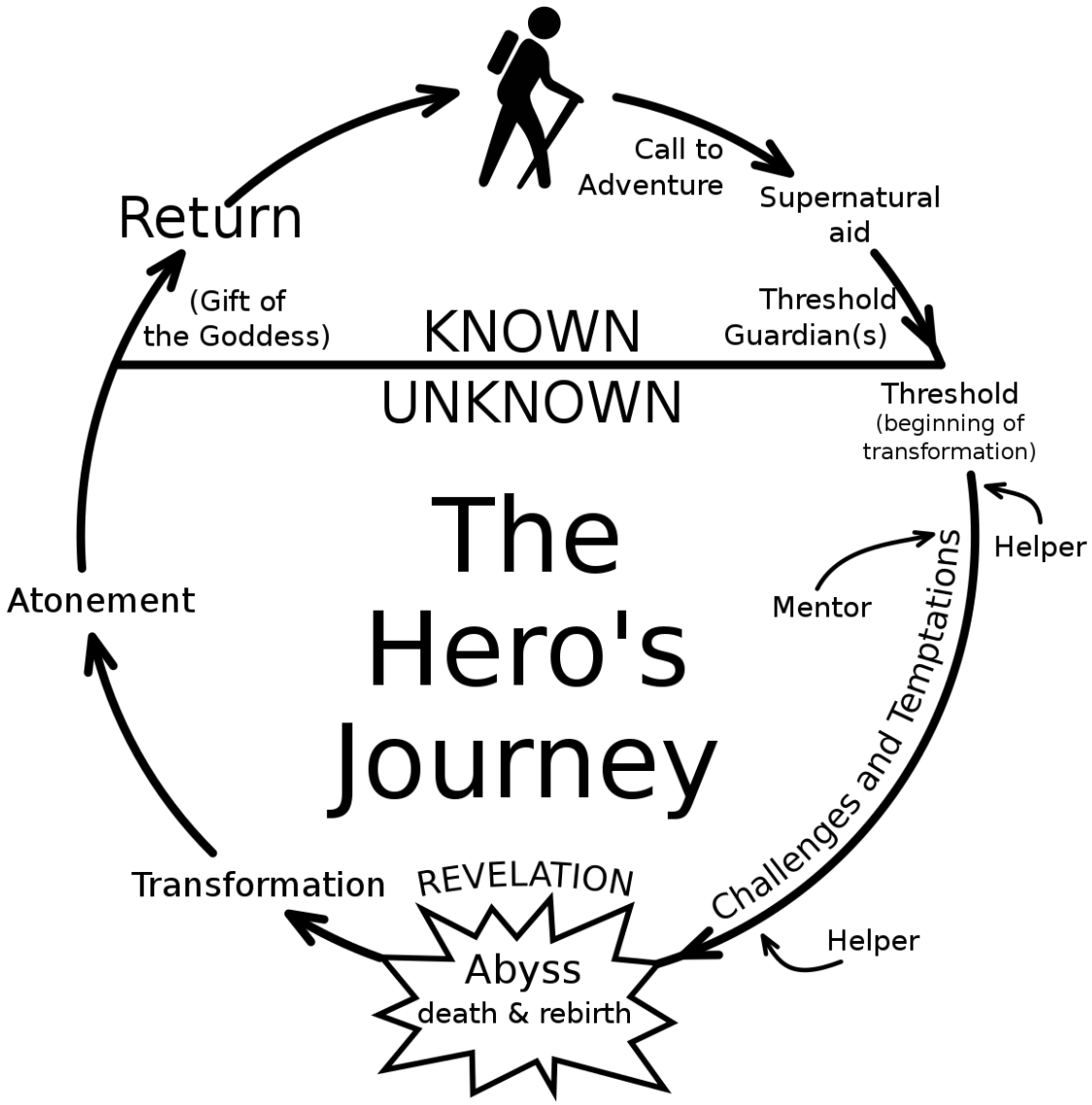
Table of Contents

1. The Art of Storytelling
2. Social Identity and Philanthropy

The Narrative Arc of Story



Integrating Story Telling into Donor Appeal

- Appealing to donors is not the same as a story arc; however, there is overlap
- Compelling appeals
  - Emerge from the case for support (call to adventure)
  - Articulate the case for specific audiences (serve the role as helping and mentoring to articulate challenges)
  - Demonstrate effectiveness (show transformation)
  - Strategically deliver (provide the return)

Different Appeals for Different Audiences

- Giving is personal – build off the personal relationship between the donor and organization when crafting appeals
- This is impossible at an individual level, but can be accomplished through *donor segmentation*
  - Example segments include: relationships with the organization, gift frequency, gift level, etc)
- Careful segmentation can help maximize return on the cost of producing and sending appeals

Shaping Narratives (Through Research)

- Positive vs Negative Framing
  - Positive framing tends to generate less support than negative framing
  - Negative framing is usually more effective when combined with a rational appeal
  - Positive appeals tend to be most effective combined with emotion
- Signal trustworthiness
- Identifiable victim effect – donors are more likely to respond to the needs of an individual than a group
- Utilize or establish norms and signal social information
- Appeal to emotion
- Incorporate visuals
- Utilize social identities, identification, and other tactics to give donors perspective

Writing the Call to Action

1. Be specific (Donate $20 to feed a family in our community for a week" vs "end hunger!")
2. Be feasible (ask for an action that is realistic for donors)
3. Present a clear priority (allows for donors to know what their money is going towards)
4. Make the giving process easy

Developing Effective Appeals

- Preparation
  - Plan appeal as part of a campaign to deploy communications and development on the same page
  - Segment donor list and craft personalized appeals
  - Select medium for appeal
  - Track and evaluate appeal
- First impression
  - Make sure the first thing a donor sees is appeal
  - Include a compelling hook for recipient's relationship with the organization
- Body
  - Use stories or data to illustrate the extent of the problem and the organizational solution
  - Pay attention to visuals and format
  - Strike a conversational style and tone while creating a sense of urgency
  - Include a clear call to action
- Closing
  - Describe recognition or other psychological or tangible benefits
  - Choose best person to sign

Writing Ethical Appeals

- One of the best ways to educate and motivate donors is to include the voices and perspectives of the recipients of the aid
- Fundraisers must also be mindful of potentially causing harm through the presentation of these voices
- Fundraisers should follow these guidelines:
  - Always ask clients for consent before using their name or image
  - Give the clients a role in telling their story
  - Review the appeal content with a critical eye and an outside perspective

Table of Contents

1 The Art of Storytelling

2 Social Identity and Philanthropy

Direct and Indirect Religious Giving

- The nonprofit sector is rooted in religious institutions
- Direct religious giving (giving to churches, mosques, synagogues, etc.) represents 27% of all charitable giving
- 37% of all adults attend worship services weekly, with another 33% attending monthly or yearly, which is correlated to higher levels of charitable giving
- 78% of religious donations are made during worship services
- When expanded to include all religiously affiliated charities, religious giving increases to 73%

Religious Giving Across Demographic Variables

- Religious affiliation has decreased in the United States, while simultaneously the percentage of individuals religiously unaffiliated has increased
- Only one in three Americans under age 30 are religiously affiliated
- Unsurprisingly, age is negatively correlated to religious giving
- Religious giving trends similarly across racial and ethnic backgrounds, along with religious tradition in the US
- 57% of Americans engage in some type of spirituality meaningful philanthropic activity
- Identifying as spiritual is correlated with a greater degree of community orientation

Religious Giving Motivations

- Religious giving motivations generally fall into four main areas (Hudnut-Beumler, 2007)
  1. Giving to achieve reciprocity with their Deity
  2. Giving to achieve reciprocity with a particular religious group
  3. Giving as an extension of the self
  4. Giving as an act of thankfulness or altruism
- Nearly every religious background emphasizes giving and altruistic behavior as a core pillar of morality

Fundraising from Religious Donors

- When fundraising for religious causes, there are three appeals that can attract donors:
  1. Obligatory giving or satisfying divine commandment
  2. Relational giving or developing a relationship between the programs and the donor
  3. Transformative giving or giving as a result of personal connection and spiritual transformation
- While religious identity is not the only driver of charitable giving, it can be a common signalling point to show commonality with a donor at the core identity level

Women as Donors

- In the United States, more women have access to higher education, higher income, and greater wealth
- Women currently control 32% of global wealth, are predicted to have a total accumulated assets of up to $93 trillion, and are poised to inherit $30 trillion in assets within the next decade
- Women have also broken several traditional assumptions:
  - Women are more philanthropic than men
  - Women drive decision-making
  - Women make big gifts
- As such, fundraising from women has increasingly become a crucial requirement for nonprofit success

Why and How Women Give

- Research has identified four tangible ways that women give differently than men:
  1. Giving Broadly
     - Women tend to give to more organizations than men and consistently support more organizations in their lives
     - Women are drawn to an expanded definition of philanthropy encompassing time, expertise, advocacy, and networks
  2. Giving Collectively
     - Women are more likely than men to give as part of a group to fully maximize their impact
     - Giving circles are especially common among women, though the concept is expanding
  3. Giving Digitally
     - Women use more tech platforms than men and give more than men online
  4. Giving Holistically
     - Women are more motivated than men through empathy for others

U.S. Racial and Ethnic Heterogenity and Philanthropy

- As of July 2019, approximately 36.9% of the population belong to a racial or ethnic minority group
- By 2060, non-Hispanic whites will account for 44% of the population, down from 76.3% of the population
- Philanthropy is valued approach in addressing social issues across ethnic groups
- Communities of color historically prioritize informal giving practices rather than formal structures

Research about Philanthropy in Communities of Color

- Once differences in income and wealth are controlled for, there are not major differences in giving rates or amounts across racial and ethnic groups
- Controlling for wealth and income, communities of color are more likely to engage in informal giving
- Communities of color have been shown to engage in the following community based fundraising vehicles:
  - Identity-based philanthropy
  - Giving circles
  - Charitable crowdfunding

Recommendations to Move Towards Fundraising from Multiple Groups

- Re-examine the relationships among donors, nonprofits, ad the community served
- Seek input from identity-based affinity groups and community leaders regarding outreach
- Engage in ongoing education to develop understandings of philanthropy in communities of color and adapt fundraising practices based on research
- Integrate volunteers representing various ethnic groups to shape campaigns and strategies
- Locate new and affirming identity-based giving mechanisms to develop an inclusive donor base
- Customize appeals to prospective donors' customs and sensibilities through donor segmentation.

LGBTQ Movement, Acceptance, and Giving

- More than 13 million people aged 13+ identify as LGBTQ, which continues to increase with social acceptance
- LGBTQ rights have earned two major Supreme Court victories in the past 10 years: 2015 Obergefell v. Hodges, 2020 Bostock vs Clayton County
- Research on giving patterns by LGBTQ donors is currently lacking; however, some broad trends have emerged:
  - LGBTQ donors are more likely to support advocacy and civil rights organizations, arts and culture organizations, and health related causes, while they are less likely to donate to religious organizations
  - LGBTQ donors tend to share common motivators as straight donors like personal connection to organizations, belief in their effectiveness, etc
  - Unique motivators include social identity, justice orientation, and visibility in mainstream organizations

Recommendations for Fundraising for all

- Recognize LGBTQ individuals' multiple identities
- Avoid common mistakes when recognizing or communicating with LGBTQ donors
- Build the data foundation capturing diverse identities and household relationships
- Engage in active, authentic outreach to the LGVTQ community
- Cultivate and ask LGBTQ donors
- Ensure strong stewardship building trust in the organization

Generations Life Course Development and Giving

- Generations as a general term refer to the age cohort coming of age in a specific era and being shaped by world events and community commonalities of that era
- There is no consensus of when one generation ends and another begins, this is all done with the view of history even though it is talked about concurrently
- Two main drivers of generations stem from: social context changes and technological changes
- Giving behavior tends to be consistent across generations when we control for the life course development, including emerging adulthood, transitions to adulthood, middle adulthood, late adulthood, end of adulthood
- Unfortunately, there is no set time marker here, especially for the earlier stages. Those tend to come with income and responsibilities

Organizational Engagement and Social Capital

- There are several changing dynamics impacting the development of engagement and social capital
  - Earning changes / career changes
  - Learning and educational changes
  - Believing and religious affiliation changes
  - Serving and volunteering changes
  - Giving and donation changes

Charitable Behavior Among High Net Worth Households

- 87% of high net worth houses ($1 million dollars in assets or earning greater than $200,000 annually) donae to charity
- HNWHs donate to nearly seven different organizations on average
- 47% donate to religion
- 57% donate to help make basic needs
- 36% donate to education
- 85% donate to something other than charity
- 30% of HNWH volunteer
- Donation motivations are similar to general donors, with a higher emphasis on tax price
- As we have previously discussed, changes in the TCJA make it more essential to rely on HNWH in the sector based on the change in the tax price of giving